

The Long-Lasting Effects of Experiencing Communism on Attitudes toward Financial Markets

Authors: Christine Laudenbach, Ulrike Malmendier, Alexandra Niessen-Ruenzi • 2026 • Published in The Journal of Finance

RESEARCH QUESTION & POLICY RELEVANCE

This paper asks whether life under communism still shapes people's attitudes toward financial markets today. Focusing on East and West Germany, it examines whether personal experiences under the GDR continue to influence willingness to invest in stocks.

ANALYSIS

The authors combine survey data with bank and brokerage records to compare investment behavior across East and West Germany. They also study whether people with more positive or more negative memories of life under communism differ in their openness toward stock market investing.

IMPACT

The study shows that people with experience of communism remain less likely to invest in stocks, even decades after reunification. The findings suggest that political systems can leave long-lasting effects on trust, financial behavior, and household wealth.

AUTHOR QUOTE

"We show that more than three decades after German reunification, the legacy of communism is still visible in people's financial decisions. This implies that attitudes toward capital markets are shaped not only by the economic system in which people live, but also by the personal experiences they associate with that system. More positive memories of communism are associated with more reluctance to invest in stocks even decades later. This can have severely negative consequences for wealth accumulation and retirement savings."

- Alexandra Niessen-Ruenzi

AUTHORS



Prof. Dr. Christine Laudenbach
Goethe-Universität Frankfurt
✉ laudenbach@safe-frankfurt.de



Prof. Dr. Ulrike Malmendier
University of California
✉ ulrike@econ.berkeley.edu



Prof. Dr. Alexandra Niessen-Ruenzi
Universität Mannheim
✉ alexandra.niessen-ruenzi@uni-mannheim.de

PAPER STATUS

Published in The Journal of Finance (04/2026)

FULL ACCESS

<http://dx.doi.org/10.2139/ssrn.5369509>

CONTACT COBRA

Mannheim Center for Corporate
Behavior and Regulation Analysis
Mannheim Business School
L 5, 6 • 68131 Mannheim • Germany
cobra@mannheim-business-school.com
www.mannheim-business-school.com/cobra

COBRA

Mannheim Center for Corporate
Behavior and Regulation Analysis

